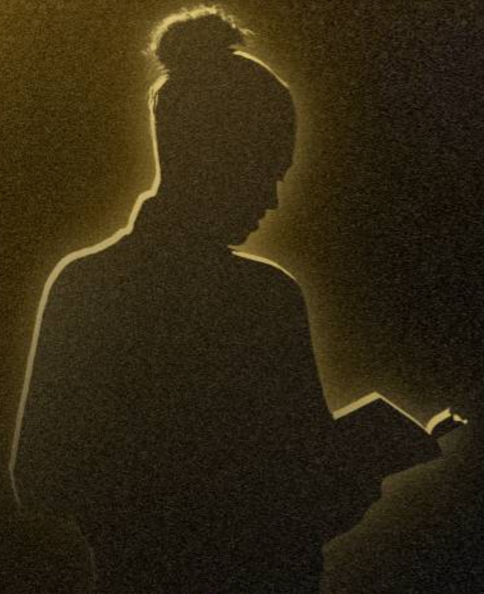
Chapter 5
Centralized Finance Vs Decentralized Finance

The Machine That Prints Permission

Banks Don't Just Store Money , They Manufacture It



A Note To The Reader

This episode is one of the most important in the entire book.
Because most people think banks are:

- safes
- vaults
- storage rooms

But banks are not warehouses.
Banks are machines.
They don't only move money.
They create it.
This episode explains:

- how banks were born
- how debt and loans work
- how banks create money
- why the system keeps people running
- why DeFi appeared

We will keep it simple.
But we will not keep it shallow.

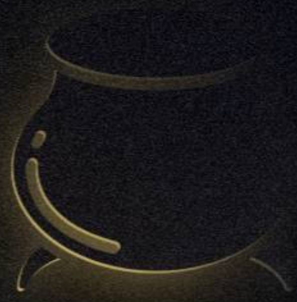
Episodes 1

● BEFORE BANKS (THE AGE OF KEEPING)

Story: Natasha and the Clay Pot

In the old village, Natasha hid her gold in a clay pot.
She buried it behind her kitchen.
It felt safe.
Until one rainy season.
The roof leaked.
The ground softened.
She dug up the pot.
It was empty.
Someone had watched her.
That was the fi rst lesson:
Keeping is risky.
People wanted protection.

Terminology Explained



Before buying, check:

- Custody: Who holds and controls an asset.
- Risk: The chance something goes wrong.

Pause & Reflect

What would you do?
If you could never truly hide wealth... where would you keep it?

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Episodes 2

• HOW BANKS WERE CREATED

History: The First Bankers

Long ago, goldsmiths had vaults.
People trusted them to store gold.
Goldsmiths gave paper receipts.
Those receipts became spendable.
Then something happened.
Most people did not come for their gold at the same time.
The goldsmith realized:
"I can lend out some gold and still appear fully backed."
This was the birth of modern banking.

Terminology Explained

- Deposit: Money placed into a bank.
- Receipt / banknote: Proof of deposit.
- Reserve: The portion of deposits kept on hand.

Pause & Reflect

If you discovered people rarely withdraw at once...
would you be tempted to lend what you don't own?

Episodes 3

● DEBT: MONEY BORROWED FROM THE FUTURE

Debt is a promise.
It is money you spend now...
that you must repay later.

Metaphor: The Neighbor's Bicycle

If you borrow your neighbor's bicycle:
• you gain speed today
• you owe the bicycle tomorrow

Debt is borrowed speed.

Terminology Explained

• Debt: Money owed.
• Principal: The amount borrowed.
• Interest: The extra cost paid for borrowing.
• Collateral: An asset used as security.

Metaphor — Mailing a Letter

Ethereum is the phone.
Tokens are the apps.

Pause & Reflect

What would you do?
If borrowing makes life easier today...
would you still borrow if repayment was painful?

Episodes 4

• HOW LOANS WORK (THE REAL MECHANICS)

A loan is a contract.
It contains:
• principal
• interest
• schedule
• penalties

Banks love loans because:
Loans turn time into profit.

Simple Example

You borrow 1,000.
You repay 1,300.
The extra 300 is interest.
Banks create income by pricing time.

Terminology Explained

• APR: Annual Percentage Rate — yearly borrowing cost.
• Amortization: Repayment spread over time.
• Default: Failure to repay.

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Episodes 5

• THE BIG SECRET: HOW BANKS CREATE MONEY

Most people believe:
“Banks lend money that already exists.”
Modern banking works differently.
When a bank approves a loan, it does something powerful:
It creates a new deposit entry.
It credits your account.
That credit becomes spendable money.
This is called credit creation.
Banks don’t print physical notes.
They create ledger money.

Metaphor: The Scoreboard

A scoreboard doesn’t contain points.
It records points.
Banks operate like scoreboards.
They update numbers.
Those numbers become real spending power.

Terminology Explained

• Credit creation: Creating spendable deposits when issuing loans.
• Ledger money: Money that exists as numbers in accounts.
• Fractional reserve banking: Keeping only a fraction of deposits while lending the rest.

Pause & Reflect

What would you do?
If money can be created by typing numbers…
who truly controls the economy?

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Episodes 6

- WHY INFLATION KEEPS RETURNING

When money supply grows faster than goods and services:
Prices rise.
Savings weaken.
People chase higher income.
This is the treadmill.

Parallel Timeline — Money Creation

Old World	Banking World
Gold is mined	Credit is created
Slow supply	Fast supply
Hard to inflate	Easy to expand

Episodes 7

• WHY DEFI APPEARED

DeFi emerged as a response to:
• gatekeeping
• bank control
• censorship
• slow settlement

DeFi is not a rebellion.
It is an alternative.

Terminology Explained

• CeFi: Centralized Finance — banks and exchanges.
• DeFi: Decentralized Finance — protocols and smart contracts.
• Settlement: Final completion of a transaction.

Episodes 8

• ANALYSIS: WHO BENEFITS FROM CEFI?

Centralized finance benefits:
- institutions
- insiders
- policy makers

Users benefit from convenience.
But convenience has a cost:
Control.

Analysis Summary

- CeFi trades freedom for comfort
- DeFi trades comfort for sovereignty

Episodes 9

• CENTRAL BANKS & THE MONEY MULTIPLIER (DEEP DIVE)

central bank is the top authority of a country's monetary system.
Examples:

- Federal Reserve (USA)
- European Central Bank (EU)
- Bank of England (UK)
- Central Bank Of Nigeria (CBN)

They control:
interest rates
liquidity
money supply direction

Terminology Explained

- Central bank: Institution that controls a nation's monetary policy
- Interest rate: Cost of borrowing money
- Liquidity: Ease of accessing money

The Money Multiplier (Step By Step)

Let's simplify it.
Imagine:

- Central bank injects $1,000 into Bank A
- Reserve requirement = 10%

Step 1
Bank A keeps $100
Bank A lends $900

Step 2
$900 is deposited into Bank B
Bank B keeps $90
Bank B lends $810

Step 3
$810 goes to Bank C
Bank C keeps $81
Bank C lends $729

This continues.Final Result

That original $1,000 can create up to $10,000 in spending power.
This is the money multiplier.

Metaphor

Echoes in a Canyon One sound.
Many echoes.
That is how money multiplies.

Pause & Reflect

What would you do?
If money expands silently...
who feels the cost first?

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Episodes 10

• CENTRAL BANK TOOLS (HOW CONTROL IS APPLIED)

Central banks influence money through:
- Interest rate changes
- Quantitative Easing (QE)
- Quantitative Tightening (QT)

Terminology Explained

- QE: Creating money to buy assets
- QT: Removing money from the system
- Policy rate: Benchmark interest rate

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Episodes 11

● WHY THIS SYSTEM PERSISTS

The system persists because:
• it fuels growth
• it enables governments to borrow
• it postpones collapse

• rewards debt
• punishes savers

Episodes 12

• BENEFITS OF DEFI (THE COUNTERMODEL)

DeFi was built to remove structural weaknesses.

Core Benefits of Defi

Transparency
All rules are public.

Permissionless Access
Anyone can participate.

No Fractional Reserves
Funds are verifi able on-chain.

Instant Settlement
No waiting days.

Programmable Finance
Rules execute automatically.

Terminology Explained

• On-chain: Executed on the blockchain
• Protocol: A set of smart contracts
• Liquidity pool: Shared funds for trading or lending

Metaphor – Open Kitchen

In DeFi, you see how the meal is prepared.
In CeFi, the kitchen is closed

Pause & Reflect

What would you do?
If rules were visible... would trust be necessary?

Episodes 13

• ANALYSIS: CEFI VS DEFI

Parallel Timeline — Money Creation

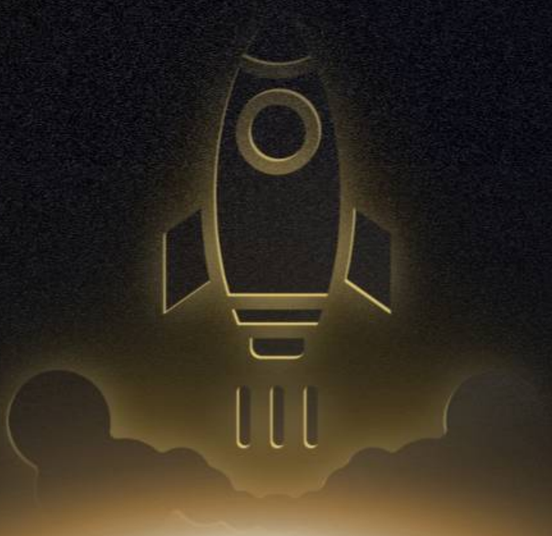
Centralized Finance	Decentralized Finance
Opaque	Transparent
Permission-based	Permissionless
Debt expansion	Collateralized logic
Human discretion	Code execution

Episodes 14

● FORECAST: THE HYBRID FUTURE

The future is not CeFi
or DeFi.
It is CeFi + DeFi.
Banks will:
• use blockchain rails
• adopt real-time settlement

Users will:
• demand transparency
• self-custody assets



Episodes 15

• PREPARING FOR LEVEL 6

You now understand:

- central banks
- money multiplication
- debt expansion
- DeFi advantages

Next, Next, we remove banks entirely.
Code becomes the bank.
You now understand:

- how banks were created
- how debt works
- how loans work
- how money is created

Next, we will go deeper into:
Smart contracts and code-based finance.

Disclaimer

This episode is for educational purposes only.
Rico Matrix does not provide financial advice, profit guarantees, or investment promises.
Cryptocurrency involves risk.
Always:

- Learn systems before using them
- Avoid debt traps
- Verify before trusting

End of Chapter 5 Episode
Proceed to Chapter 6 Episode:
Smart Contracts & On-Chain Logic